1.2 economic system

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1. Which of the following is the defining characteristic of a capitalistic economy?

(A) Well-functioning capital markets

(B) Private ownership and protection of property rights ✓

(C) Fair distribution of income and low income taxes

(D) Equality of opportunity

(E) Efficient allocation of resources

2. As a factor of production, capital refers to the

(A) money available to start a business

(B) stocks and bonds issued by businesses to raise funds

(C) financial investment of businesses

(D) currency in circulation and deposits in financial institutions

(E) tools and machinery used to produce goods and services ✓

3. Which of the following is necessary in a well-functioning capitalist economy but not in a command economy?

(A) Centralized decision making

(B) Scarcity of resources

(C) Monopolies

(D) Protection of property rights ✓

(E) Positive externalities

4. Which of the following is associated with a command economy?

(A) Competitive product markets

(B) Use of resources for private gain

(C) Use of available resources to meet all the needs and wants of its citizens

(D) Entry of firms into industries with economic profit

(E) Public ownership of the means of production ✓

Answer E

Correct. In a command economy, resources are publicly owned, and their uses are determined by a central planning agency.

5. Assume there are two goods in a market economy. The amount of each good produced is determined by

1.2 economic system

(A) buyers and sellers' interactions in the market for each good ✓
(B) a central planning agency
(C) the desires of households only
(D) each citizen's minimum needs for survival
(E) popular voting with one vote per citizen

Answer A

Correct. The interaction of buyers and sellers in the market determines the quantity produced of a good.

6. A difference between command and market economic systems is that command economic systems

(A) have a legal system that provides incentives to produce, whereas market economic systems do not
(B) ensure efficiency, whereas market economic systems ensure equity
(C) limit individual property rights, whereas market economic systems protect individual property rights ✓
(D) maximize producer and consumer surplus, whereas market economic systems do not
(E) regulate production but not distribution, whereas market economic systems regulate both production and distribution

Answer C

Correct. A fundamental characteristic of market economic systems is the protection of individual (private) property rights. In command economic systems, individual (private) property rights are limited, as property is, for the most part, publicly owned.

7. Command economies differ from capitalist economies mainly because of which of the following?

(A) Command economies have higher prices for oil.
(B) Capitalist economies have higher prices for oil.
(C) Command economies have higher degree of government ownership of resources. ✓
(D) Capitalist economies have higher degree of government ownership of resources.
(E) Command economies rely on prices to allocate resources.

8. Which of the following is true in a command economy?

1.2 economic system

(A) There is more private ownership of the factors of production than in a market economy.
(B) Production decisions are based on the incentive of firms to maximize profits.
(C) The government directs the use of factors of production. ✓
(D) The price system is used to allocate resources.
(E) There is more freedom of enterprise than in a market economy.

Answer C

Correct. In a command economy, the government, not the market, determines how factors of production will be used.

9. In contrast to a market economy, a command economy relies on which of the following?

(A) The private sector in deciding what goods will be produced
(B) Private ownership of resources
(C) Profits as incentives to make choices
(D) The government to allocate resources ✓
(E) Supply and demand to determine prices

Answer D

Correct. In a command economy, the government or a central authority decides what goods and services to produce, how to produce goods and services, and who consumes goods and services.

10. Which of the following economic systems primarily relies on prices for allocating resources and goods?

(A) Free-market ✓
(B) Traditional
(C) Command
(D) Mixed
(E) Socialism

1.2 economic system

Answer A

Correct. A free-market economy relies on individuals responding to market price signals to allocate resources to the production of goods that are most valued in the market. That is, resources flow to the most valued activity as indicated by prices.

11. In a command economy, the quantity of computers produced would be determined by

(A) factory owners

(B) the government ✓

(C) consumers and producers

(D) international trade

(E) the wealthy

Answer B

Correct. In a command economy, the government sets policy, owns the means of production, and answers the questions what to produce, how to produce, and for whom to produce.

12. Compared to a market economy, in a command economy there is greater

(A) government involvement in the allocation of resources ✓

(B) protection of private property rights

(C) reliance on prices for allocating scarce resources

(D) reliance on private businesses for the allocation of resources and distribution of goods

(E) consumption of consumer goods

Answer A

Correct. In a command economy, the means of production are owned by the government. The decision to allocate resources and the distribution of goods and services are determined by the government. It does not primarily rely on markets for allocating resources and goods.

13. A power company decides to use wind turbines to provide electricity instead of coal. Which basic economic question does this decision answer in a free market economy?

1.2 economic system

(A) What goods or services will be produced?

(B) How will goods or services be produced? ✓

(C) Who will consume the goods or services?

(D) What economic system should be adopted?

(E) Who gets to decide?

Answer B

Correct. Using a wind turbine determines how electricity is provided or what resources are used to produce it. By specifying the resources to be used, it determines the method by which they will be produced. Therefore, it answers the question how goods and services will be produced.

14. Which of the following is a defining characteristic of a market economy?

(A) Private ownership of resources ✓

(B) Equitable distribution of income

(C) Taxation of personal income

(D) Reliance on public goods

(E) Government-guided resource allocation

Answer A

Correct. In a market economy, there is a reliance on signals provided by market prices for the allocation of resources. Private ownership of resources (or well-defined property rights—the right to own and use resources) is an important feature that provides incentives to producers and consumers to respond effectively to economic signals. Thus private ownership of resources is an essential element for markets to function well in allocating resources efficiently.

15. The fundamental difference between a market economy and a command economy lies in which of the following?

(A) Property rights and protection of private property ✓

(B) Absolute and comparative advantages

(C) Specialization and trade

(D) Taxes and subsidies

(E) Positive and negative externalities

1.2 economic system

16. The government imposition of a minimum wage in a perfectly competitive labor market is a policy that would

(A) be used in a pure market economy

(B) be used in a mixed economy ✓

(C) eliminate deadweight loss

(D) increase the number of workers hired

(E) decrease the supply of labor

Answer B

Correct. In a mixed economy, a combination of free market outcomes and government policies, such as the imposition of a minimum wage, are used to manage the economy.

17. Which of the following is true in a capitalist economy?

(A) The factors of production are collectively owned.

(B) The factors of production are distributed according to needs.

(C) The prices of goods and services are usually determined by the government.

(D) The prices of goods and services are set so that an equitable distribution of private property is achieved.

(E) Prices serve as incentives for factors of production to move to the markets where they are most valued. ✓

18. Relative to a command economy, resources in a market economy are more commonly allocated by

(A) democratic elections

(B) government planning

(C) the price system ✓

(D) established traditions

(E) a system of checks and balances

19. Individual private property rights provide people incentives to

(A) meet societal goals rather than pursue their own self-interest

(B) produce goods and services regardless of market demand

(C) achieve equitable distribution of goods and services through competitive markets

(D) focus only on benefits without regard to costs

(E) produce goods and services that are valued in markets ✓

1.2 economic system

Answer E

Correct. Individual private property rights provide people incentives to use available resources to produce goods and services that will allow them to profit by selling their goods and services to consumers who value them. Market prices provide the incentive and the signal regarding what is valued.

20. The allocation of resources in a market economy is described by which of the following statements?

I. The government decides which goods will be produced and which consumers will receive them.

II. Buyers and sellers exchange goods and services on a voluntary basis.

III. Prices and costs help producers decide whether they are producing too little or too much of a good.

(A) I only.
(B) II only.
(C) III only.
(D) I and III only.
(E) II and III only. ✓